

Digital Sovereignty in Europe

From Political Rhetoric to Investable Reality

Thematic Research | International Small- to Mid-Cap Equities | All-Cap Emerging Markets

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European governments have crossed from talking about digital sovereignty to legislating, certifying, and procuring it. Europe cannot outspend the US hyperscalers, but it can outregulate them, and it has, creating a protected tier of technology demand worth an estimated \$23bn by 2027, growing three times faster than the broader cloud market, and underwritten by a EUR 800bn defense spending commitment with dedicated digital infrastructure allocations.

The size of that opportunity depends on two questions: whether “sovereign” ultimately means European-owned or merely European-operated, and whether Europe can execute at the speed of its own ambition, or whether, true to form, the laws arrive on time and the implementation arrives years late, leaving Europe further behind technologically and its investors watching another generational opportunity play out from the wrong side of the Atlantic.



KEY TAKEAWAY European digital sovereignty is creating a protected tier of technology demand worth \$23bn by 2027. The thesis is real but selective: regulation creates demand, not automatically protected profit pools. Favor companies where sovereignty is additive to sound economics, not foundational to the investment case.

Executive Summary

European digital sovereignty is becoming a focal point of more frequent conversations with industry participants and management teams over the last six months. This paper is our view on what is real, what is not, and how we think about it as investors.

European digital sovereignty is not about replacing US technology across the full stack. It is about carving out protected demand in selected segments where ownership, jurisdiction, operational control, and procurement rules determine vendor eligibility. That narrower thesis is real, investable in specific cases, and already visible in enacted law, national certification frameworks, and procurement flows.

Europe is building protected niches in government IT, defense digital infrastructure, regulated industries, sovereign communications, and selected cloud and cybersecurity workloads. But whether this demand translates into attractive equity returns depends on unresolved questions: how broadly regulators accept US-controlled “sovereign wrapper” alternatives, whether European providers can scale fast enough to absorb the demand, and whether the winners end up as good businesses or low-margin utilities dependent on government contracts.

The Investment Case

Europe has enacted a substantial regulatory framework that makes digital sovereignty more than political rhetoric. Key enacted laws include GDPR, DORA (enforced January 2025), NIS2 (rolling through staggered national transposition), the Data Act (applied September 2025), and the AI Act (phased enforcement through August 2027). National certification regimes such as France’s SecNumCloud and Germany’s C5 are operational. Defense spending has been constitutionally embedded in several member states, with 65% European content requirements attached to procurement under the SAFE framework.

These measures create real compliance-driven and procurement-driven spending, especially in government, financial services, critical infrastructure, and defense.

Market size: Gartner forecasts European sovereign cloud IaaS rising from \$6.9 billion in 2025 to \$23.1 billion in 2027, representing rapid growth but still only approximately 9% of total European cloud infrastructure spending (approximately EUR 75 billion in 2025). This is a protected segment within the market.

The central question: Does “sovereign” mean European-owned or merely European-operated? If wrapper models—joint ventures, ring-fenced subsidiaries, and locally controlled versions of US platforms—are accepted, much of the middle tier remains contestable. If regulators enforce stricter ownership standards, local providers gain larger protected markets, but Europe’s capacity and capital constraints become more binding.

Base case: A fragmented middle path. Strict sovereignty at the highest sensitivity tiers (classified defense, intelligence, critical state systems). Wrapper acceptance in the middle tiers (broader government, regulated industries). Open commercial competition elsewhere.

What This Means for Investors

The theme is credible but selective. Regulation creates demand; it does not automatically create protected profit pools. The best opportunities are in businesses where sovereignty provides an incremental demand floor layered onto existing certification, customer relationships, and sound economics.

The worst outcome is not that sovereignty fails. There are two bad outcomes that matter for equity investors. The first is that Europe executes at its historical pace: the laws arrive on time but implementation arrives years late, procurement stalls in 27 national debates, and the revenue investors are underwriting in 2026 does not show up in earnings until 2029. Europe's track record here is poor and well-documented (we discuss later in Section IV). The second is that sovereignty succeeds but the winners become low-return utilities: politically important, strategically valued, generating steady government revenue, but earning mediocre returns on capital. Both outcomes are plausible and both need to be priced into position sizing.

Investment stance: Favor companies where sovereignty is additive, not foundational. Avoid businesses that require perfect policy outcomes to justify ownership. Highest conviction in the most protected workloads with sound economics. Most conditional on pure sovereign cloud infrastructure names whose economics may be weak even if demand grows. The full framework is in Section I.

Timing: The sovereignty theme plays out in three phases. The first (2025 through mid-2026) is the compliance and early procurement wave, already visible in some companies' earnings. The second (late 2026 through 2027) is when major regulatory decisions (CADA, Bleu qualification, AI Act high-risk rules) land and revenue should visibly accelerate. The third (2028–2030) is steady state. The sweet spot for building positions is now through the resolution of those second-phase catalysts.

Section I: Where the Value Gets Created

European digital sovereignty creates investable demand in six distinct pockets. They differ in conviction level, moat depth, and sensitivity to the unresolved questions at the heart of this thesis. Two principles cut across all of them.

First, mandatory compliance spending does not automatically flow to European-native companies. The thesis only works in segments where certification genuinely gates out non-European competitors. Second, the deepest moats sit around the smallest revenue pools. This tension requires deliberate portfolio construction choices.

Pocket	Conviction	Key Demand Driver	Primary Risk
Defense and classified	Highest	NATO resilience, SAFE 65% content	Small addressable market, illiquid names
GovTech platforms	High	Public sector digitization, 7–10yr contracts	Execution speed, budget delays
Cybersecurity (certified)	Medium-high	NIS2, DORA mandatory spend	Global competitors in less-gated segments
Sovereign cloud (IaaS/PaaS)	Conditional	Gartner \$6.9bn to \$23.1bn by 2027	Utility economics, capex intensity, wrapper capture
Systems integrators	Broad but pressured	Migration and compliance work	AI automation compressing project economics
Second-order software	Moderate	Modernization pull-through	Indirect exposure, harder to attribute

Defense and classified systems: highest conviction. Classified communications, sovereign AI compute, cyber defense, and command-and-control systems require pure European stacks by definition. European defense spending rose from EUR 218bn in 2021 to an estimated EUR 392bn in 2025, a nearly 80% increase in four years, driven by constitutional commitments (Germany’s debt-brake amendment), a EUR 150bn EU lending facility (ReArm Europe/SAFE), and NATO’s adoption of a 5% GDP guideline at The Hague Summit in June 2025. NATO allocates 1.5% of GDP specifically to “resilience,” which includes digital infrastructure and cybersecurity, and the SAFE procurement framework requires 65% European content. No wrapper structure can reach this tier. The moat is not regulatory interpretation. It is architectural.

GovTech platforms: highest stickiness. Reusable government platforms combine sovereignty demand with business model characteristics that would make them attractive even without the sovereignty theme. Contract cycles of 7–10 years, EU procurement scoring that weights platform capability at 80–85% versus price at 15–20%, and extreme switching costs mean that once embedded, these platforms are nearly impossible to displace. Public sector digitization across 27 member states creates a large addressable market, and fragmentation (no mutual certification recognition across borders) both limits cross-border scale and protects national incumbents.

Cybersecurity with sovereign certification: real but variable moat. Two EU regulations create non-discretionary security spending across broad swaths of the economy. DORA (enforced January 2025) requires approximately 22,000 financial entities to implement IT risk management, incident reporting, and third-party

vendor oversight, with fines up to 10% of annual revenue. NIS2 covers 18 critical sectors and introduces personal liability for management boards. European-headquartered security firms with SecNumCloud, C5, or BSI certification have structural advantages in government and regulated procurement. The moat narrows in commercial segments where certification requirements are lighter and global competitors compete on product.

European-native cloud providers: most direct exposure, most uncertain outcome. Gartner forecasts the European sovereign cloud IaaS market growing from \$6.9bn in 2025 to \$23.1bn by 2027, but those numbers include spending captured by hyperscaler sovereign wrapper offerings (joint ventures and ring-fenced subsidiaries using US technology under European operational control), not just pure European providers. The share that flows to European-native companies depends on whether regulators broadly accept wrappers as “sovereign enough.” This wrapper question, discussed in Section II, is the single most important variable for the investment thesis. The economics are also the most challenging in this pocket: capex-intensive infrastructure, thin margins, and a managed services gap (hyperscalers offer 200+ services that European providers cannot match). Some will generate strong returns if the regulatory environment holds and they develop differentiated products. Others will absorb sovereignty-mandated demand and still earn poor returns on capital.

Systems integrators: wrapper-agnostic but under separate pressure. Whether the winning architecture is pure European stacks or wrappers, someone has to build, migrate, certify, and maintain them. Compliance deadlines under DORA, NIS2, and the AI Act create a multi-year wave of implementation and migration work. However, integrators face their own structural challenge: AI-driven automation is compressing the economics of migration and maintenance work. The sovereignty tailwind is real but may be offset by margin pressure from a separate force.

Second-order beneficiaries. Sovereignty accelerates cloud adoption and IT modernization across European public sector and regulated industries, creating tailwinds for European software companies selling into those verticals.

The hierarchy. Defense and GovTech offer the deepest moats and the most durable economics. Cybersecurity offers real but variable protection. Sovereign cloud infrastructure offers the highest growth but the most conditional moat and the most challenging economics. Integrators offer broad exposure on a business model under separate pressure.

Section II: The Central Variable — Wrappers vs Pure Sovereignty

The single most important question for the investment thesis is whether European governments and regulators will accept hyperscaler sovereign wrappers as “good enough,” or whether they will insist on fully European-owned and operated stacks. The answer determines the addressable market for every company in the investable universe.

What Is a Wrapper?

A sovereign wrapper is a joint venture, ring-fenced subsidiary, or locally controlled operational structure where underlying technology is US-origin, operational control and data custody are held by a European entity, and the legal structure attempts to create immunity from extraterritorial jurisdiction (specifically the US

CLOUD Act, which compels any US-headquartered company to produce data in its possession regardless of where it is physically stored).

The four major models illustrate different approaches and different levels of sovereignty insulation:

S3NS (Thales / Google Cloud): A French-law company, fully owned and controlled by Thales. Achieved SecNumCloud 3.2 qualification in December 2025 after three years from creation to qualification, with approximately 30 early-adopter customers. This is the landmark event: it proves ANSSI will accept a carefully structured wrapper, but the cost and complexity demonstrate this is not a light-touch compliance exercise.

Bleu (Orange / Capgemini / Microsoft): French-law company, 100% owned by Capgemini and Orange. Will offer Microsoft Azure and Microsoft 365 in isolated French data centers operated exclusively by Bleu employees. Targeting SecNumCloud qualification H1 2026. If Bleu achieves qualification, both major US cloud platforms would be available in France through sovereignty-compliant wrappers.

AWS European Sovereign Cloud: Launched Brandenburg, January 2026. Unlike the French models, AWS itself operates the infrastructure through a German subsidiary. BSI signed a cooperation agreement but has not certified immunity from the CLOUD Act. This is operational sovereignty without legal sovereignty, a critical distinction.

T-Systems Sovereign Cloud (Deutsche Telekom / Google): Operates under Germany's C5 framework, which does not impose ownership restrictions. T-Systems controls encryption keys and the operational environment. The pragmatic German approach: accepting technological dependency while layering operational sovereignty on top.

Base Case: A Tiered Market, Not a Binary One

The evidence does not support either extreme. What the certification frameworks, wrapper structures, and country-level signals point toward is a tiered market with different competitive dynamics at each level.

Tier	Workloads	Who Competes	Market Size	Moat Depth
Tier 1: Strict sovereignty	Classified defense, intelligence, state encryption, sovereign comms	European-native providers only	Smallest	Absolute
Tier 2: Wrappers accepted	Government cloud, DORA/NIS2 compliance, regulated industry	European providers + hyperscaler wrappers + global integrators	Largest	Variable, contested
Tier 3: Open competition	Commercial cloud, non-sensitive government, enterprise SaaS	Everyone	Broad	None from sovereignty

At the highest sensitivity tier, strict sovereignty will hold. Wrappers cannot reach this tier. At the middle tier, wrappers will be broadly accepted. S3NS clearing SecNumCloud proves this is already happening even in the strictest market. At the lowest tier, competition remains open and sovereignty offers no structural advantage.

Second-Order Dynamic: Value Migration Up the Stack

Even if sovereignty constraints hold at the infrastructure layer, hyperscalers are moving up the stack with AI and workflow bundling. A European cloud provider may win the sovereign IaaS contract, but if the AI

models, developer tools, and managed services running on top are still US-controlled, value capture migrates upward. European providers are responding (e.g., IONOS launching AI agents product strategy), but this tension remains.

Section III: What Is Real vs What Is Not

The investment pockets in Section I and the wrapper dynamics in Section II describe the structure of the opportunity. This section applies a stricter filter: separating what is already generating revenue and contracts from what remains aspirational, so we know what to underwrite and what to treat as optionality.

What we can underwrite with confidence

The regulatory architecture is not prospective. DORA, the Data Act, and the AI Act are enforced or on schedule. National certification regimes are operational and gating real procurement: OVHcloud won the ECB digital euro infrastructure contract in March 2026, SAP launched its French sovereign cloud on Bleu the same day, Airbus issued a sovereign cloud tender worth EUR 50m+ over ten years, and Germany's ITZBund is routing federal IT contracts through European providers. Defense spending carries constitutional and treaty-level entrenchment. The sovereign cloud market is confirmed by Gartner at \$6.9bn (2025) growing to \$23.1bn (2027), with hyperscaler capex commitments (AWS EUR 7.8bn, Google EUR 5.5bn+, NVIDIA/Deutsche Telekom EUR 1bn+) providing independent demand validation.

The critical caveat on the Gartner numbers: they include spending captured by hyperscaler sovereign wrapper offerings, not just pure European providers. The headline market is real; the share that flows to European-native companies depends on the wrapper outcome discussed in Section II.

What we should not underwrite

Four elements of the sovereignty narrative do not hold up as near-term investment premises.

Full-stack European digital independence is not happening within this decade. Europe does not fabricate leading-edge semiconductors and will not before the 2030s. It has no cloud provider matching hyperscaler breadth. CEPA estimated full autarky at EUR 3.6 trillion over ten years. No one is spending that. Consumer sovereignty (replacing Gmail, iCloud, or enterprise SaaS) is not a thing.

Compliance spending does not automatically flow to European vendors. DORA and NIS2 force spending, but unless procurement frameworks explicitly exclude non-European ownership or wrapper structures, that spend can be captured by US vendors with wrappers, global consultancies, or mixed consortia. Regulation creates demand. It does not automatically create protected profit pools.

Pan-EU harmonization is stalled and should not be assumed. Gaia-X has produced negligible market impact after six years. EUCS has been deadlocked since December 2019. CADA has already slipped from Q1 to May 2026, with implementation unlikely before 2028. The base case is national-level markets (France, Germany, Nordics) operating independently. Harmonization would be upside but is not required for the thesis to work.

Leading-edge semiconductor sovereignty is a political priority, not a near-term equity thesis. Europe remains strong in equipment (ASML) and specialty nodes but not in sub-5nm frontier manufacturing. The

EU Chips Act focuses on mature and specialty nodes. This matters for European industrial policy but does not create the same kind of investable, certification-gated demand that sovereign cloud, cybersecurity, and GovTech do.

Section IV: The Regulatory and Geopolitical Architecture

What Europe Is Doing and Why

The investment pockets described in Section I rest on a regulatory and geopolitical foundation. This section provides that detail. Europe runs on American technology: AWS, Microsoft Azure, and Google Cloud hold approximately two-thirds of the European cloud infrastructure market (Synergy Research Group, H1 2025). Digital sovereignty is the effort to ensure that European governments, militaries, and critical industries are not operationally dependent on providers subject to foreign law and foreign government compulsion. It takes four forms: data residency requirements, certification frameworks (SecNumCloud, C5), procurement rules mandating European-built alternatives, and an interlocking regulatory architecture (GDPR, DORA, NIS2, Data Act, AI Act) creating compliance-driven demand.

The Regulatory Stack

The EU has built a layered regulatory architecture where each law creates compliance obligations generating demand for European-jurisdiction solutions.

Regulation	Type	Status	Key Deadline	Scope
GDPR	Regulation	Enforced since May 2018	Ongoing	All data processors handling EU personal data
DORA	Regulation	Enforced since Jan 2025	Live	22,000 financial entities
Data Act	Regulation	Applied Sep 2025	Switching fees eliminated Jan 2027	All cloud providers in EU
AI Act	Regulation	Phased enforcement	High-risk rules Aug 2026	AI systems deployed in EU
NIS2	Directive	Rolling 2025–2026	7 states still transposing	18 critical sectors, 50+ employee firms

The key regulations:

GDPR (enforced since May 2018): Established that EU personal data must be handled under EU rules regardless of processor location. Fines of up to 4% of global revenue normalized data sovereignty as a regulatory objective.

DORA (enforced since January 2025): Applies directly across 22,000 financial entities, requiring IT risk management, incident reporting, and third-party vendor oversight, with fines up to 10% of annual revenue. Forces financial institutions to map and scrutinize concentrated IT dependencies on US hyperscalers.

Data Act (applied September 2025): Eliminates cloud switching fees by January 2027, reducing one of the biggest practical barriers to migrating from hyperscalers to European alternatives.



AI Act (phased through August 2027): High-risk system rules (effective August 2026) require transparency, documentation, and risk management that favor providers with European operational presence. “Sovereign AI” trained on European data, in European facilities, under European law is emerging as a procurement category.

NIS2 (transposition deadline October 2024, enforcement rolling through 2026): Covers 18 critical sectors with personal liability for management boards. Seven member states had not completed transposition by early 2026. The compliance spending is coming but arriving unevenly.

Important distinction: EU regulations (DORA, Data Act, AI Act) apply directly and arrive on time. EU directives (NIS2) require member-state legislation and arrive late and unevenly. The investment thesis is more reliable where it rests on regulations.

Durability nuance: The laws are durable. Formal repeal would require a full legislative process. But enforcement intensity, procurement interpretation, certification standards, and wrapper acceptance can all shift materially without any statute changing. Legal durability does not equal predictable investment outcomes.

The CLOUD Act Conflict

The US CLOUD Act compels any US-headquartered company to produce data in its possession regardless of where it is physically stored, conflicting directly with EU data protection law. Microsoft acknowledged before the French Senate (June 2025) that it cannot guarantee immunity from US data requests. The EU-US Data Privacy Framework is being challenged before the Court of Justice.

The Geopolitical Reset

The Trump administration’s transactional approach to European security forced a reappraisal across European capitals: any technology platform controlled by a US company is subject to US political leverage. Cloud services can be repriced, API access restricted, software licenses conditioned.

This has accelerated procurement at the highest sensitivity tiers. Whether it changes the broader middle tiers, where governments historically default to pragmatism and cost efficiency, is less certain.

Defense as a Funding Channel

Defense spending is detailed in Section I in the context of the investment pocket it creates. The key structural point: this is not a cyclical uptick. Constitutional amendments, treaty commitments, and the 65% European content requirement in SAFE procurement make defense the fastest-moving funding channel because budgets are larger, urgency is higher, and austerity constraints have been explicitly removed.

Section V: What Could Go Wrong

The thesis is built on enacted regulation, real procurement, and structural defense spending. But a credible investment case requires an honest accounting of what could undermine it.

Execution at European speed. NIS2 transposition late in seven member states, EUCS deadlocked for six years, Gaia-X negligible after six years, CADA already slipping. Revenue will be back-end loaded relative to headline forecasts. Size positions for European speed, not headline ambition.



Fragmentation across 27 member states. No mutual recognition of certifications: SecNumCloud in France does not solve Germany, C5 in Germany does not solve Italy. This limits cross-border scale. The flip side: once a position is won nationally, fragmentation also protects incumbents. It is both the ceiling on the opportunity and the floor under established positions.

Wrapper capture of the middle tier. S3NS has already cleared SecNumCloud, Bleu is targeting H1 2026, and AWS launched its sovereign cloud in January 2026. If wrappers satisfy regulators broadly, pure European providers keep only the most sensitive tier, the smallest slice of the market.

The cost gap. For basic IaaS, European providers are frequently cheaper than hyperscalers. The real gap is at the managed services layer: hyperscalers offer 200+ managed services that European providers cannot match. The Bitkom Cloud Report 2025 found 82% of German companies want to reduce hyperscaler dependence, but 67% say they cannot operate without them.

Other risks. US diplomatic retaliation is possible but has not materialized. European talent drain to US firms is chronic. Chinese cloud players positioning as “non-US alternatives” could complicate the narrative. AI value capture migrating up the stack remains the structural concern for any company stuck at the infrastructure layer.

Section VI: How We Are Positioning

The paper has made its case. The regulations are real. The demand is measurable. The wrapper variable will determine the size of the protected market. The risks are execution, fragmentation, and the possibility that the winners turn out to be bad businesses. This section states how we translate that analysis into portfolio decisions.

Five rules for stock selection in this theme

Sovereignty should be additive, not foundational. The best case is a company that already has a functional business and gains an incremental demand floor from sovereignty requirements. The worst case is a company that exists only because of regulatory protection and would fail without it. If you cannot make the investment case without the sovereignty story, the sovereignty story is doing too much work.

Economics matter more than strategic relevance. Favor recurring revenue, high switching costs, acceptable margins, and a credible path up the value stack. Avoid capex-heavy infrastructure with thin margins, negative free cash flow, and monopsony customer concentration.

Do not overpay for perfect policy outcomes. If a company needs wrappers to be fully rejected AND pan-EU harmonization to succeed AND defense budgets to flow on schedule, it is probably the wrong way to play the theme. The best positions work across multiple scenarios.

Certification and customer access are concrete moats. Companies already through the certification bottleneck (SecNumCloud, C5, BSI) and with existing government contracts have 2–3 year advantages over late entrants. This head start is real and durable.

Liquidity and size matter. The deepest sovereignty moats often sit in the smallest, most illiquid names. Be deliberate about the tradeoff between moat quality and position sizing constraints.



Near-term catalysts

The sovereignty theme plays out in three phases, each with different signals to watch. Phase one (2025 through mid-2026) is the compliance and early procurement wave: DORA enforcement driving security spending, NIS2 transposition creating rolling demand, and early sovereign cloud contracts landing. This is already visible in reported numbers. Phase two (late 2026 through 2027) is when the central variable resolves: CADA expected May 2026, Bleu targeting SecNumCloud qualification H1 2026, AI Act high-risk rules effective August 2026, Data Act switching fee elimination January 2027, and SAFE procurement ramping. This is the window when revenue trajectories for best-positioned companies become visible and the wrapper question gets answered in practice. Phase three (2028 onward) is steady state, where the winners are established and the theme shifts from catalyst-driven to earnings-driven. The sweet spot for building positions is now through the resolution of phase two. The specific company data points to watch through that window: secunet order intake trajectory (FY2025: +26%, book-to-bill 1.16x), OVHcloud SecNumCloud ARR growth (FY2025: +63% to EUR 24m), and IONOS cloud revenue growth (guided 15–17% for 2026).

The bottom line

European digital sovereignty is investable, selectively. The theme is real, the demand is growing, and the regulatory architecture is durable. But not every company exposed to the theme is a good investment, and the difference between a protected business with sound economics and a politically favored utility with poor returns comes down to the kind of company-specific analysis that no thematic paper can substitute for. Do not overpay for strategic relevance. Where the business is weak, the policy story will not save the equity.



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